Finance Written 2026 Summer with Anwser

Answer Key (Questions 1–25)

No.	Correct Answer	No.	Correct Answer
1	**D** (bankrun is a Nash-equilibrium)	14	**A** (Banks' financial planning...)
2	**B** (Safe Service)	15	**C** (Increasing the central bank's...)
3	**B** (Firm value first increases...)	16	**D** (The other three answers...)
4	**D** (11.75)	17	**B** (Long straddle position)
5	**B** (5.84%)	18	**B** (1992)
6	**C** ($1.98)	19	**B** (IFRS9)
7	**A** (CVA is the expected loss...)	20	**A** (Loans with overdue interest...)
8	**C** (Credit risk)	21	**A** (8.57%)
9	**B** (740)	22	**B** (12 million)
10	**A** (Synergies originating from...)	23	**C** (Valuation methods using...)
11	**A** (0.56)	24	**D** (It is equal to the time...)
12	**D** (1.70-1.9 A for 1.00 B)	25	**D** (In none of the other three...)
13	**D** (120)		

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1. According to the Diamond-Dybvig model
    - A. the cause of bankrun is the irrational behaviour of clients
    - B. clients' liquidity risk is observable
    - C. autarky is always superior
    - D. bankrun is a Nash-equilibrium

2. Which banking service is fee-based?
    - A. Mortgage Lending
    - B. Safe Service
    - C. Depositing
    - D. Corporate Lending

3. A firm is financed with both debt and equity in a world with corporate taxes and financial distress costs. As the firm continuously increases its debt level, which of the following best describes what happens to the firm's value and WACC?
    - A. Firm value first decreases then increases, and WACC first increases then decreases, because equity holders benefit from the leverage ratchet effect at high debt levels

B. Firm value first increases then decreases, and WACC first decreases then increases, because beyond a certain point, the present value of financial distress costs outweighs the tax shield

C. Firm value continuously decreases and WACC continuously increases, because financial distress costs always dominate the tax shield

D. Firm value continuously increases and WACC continuously decreases, because the tax shield always outweighs the cost of financial distress

4. A firm's current capital structure consists of 50% equity and 50% debt. The required rate of return on equity is 10% per annum, and the cost of debt is 3% per annum. Assume a corporate tax rate of 0%. The firm is considering a restructuring that would increase the share of debt in its capital structure to 60%. Using the Modigliani-Miller framework, calculate the new required rate of return on equity after the restructuring.

   A. 15

   B. 6.5

   C. 5

   D. 11.75

5. Assume annual compounding. The 1-, 2-, and 3-year zero rates are 2%, 4%, and 6%, respectively. What is the 3-year par yield on a bond that pays coupons annually?

   A. 4.86%

   B. 5.84%

   C. 6.26%

   D. 5.24%

6. Assume the risk-free interest rate is 5% per annum with continuous compounding and the dividend yield on a stock index is 2% per annum. The index level is 200. The 6-month market forward price is $205. Compute the arbitrage profit at maturity.

   A. $3.46

   B. $2.12

   C. $1.98

   D. $2.34

7. Which statement about Credit Valuation Adjustment (CVA) is correct?

   A. CVA is the expected loss arising from counterparty default risk.

   B. CVA measures operational risk capital.

   C. CVA measures the risk of losses due to changes in market interest rates.

   D. CVA is the probability of default.

8. Which of the following Basel Pillar 1 risk categories typically requires the largest amount of regulatory capital for a commercial bank?

   A. Liquidity risk

B. Market risk

C. Credit risk

D. Operational risk

9. Assume a firm with a D/V of 30% and a perpetuity-like operation has a predicted ROIC of 12% for the next years while WACC stagnates at 11.5%. The current amount of the invested capital is 1000, while the long-term growth rate is 3%. The current intrinsic value of the equity is most near to

   A. 900

   B. 740

   C. 700

   D. 1060

10. Which statement is true?

    A. Synergies originating from cost reductions are less risky than those coming from future sales increases.

    B. Typically, during an M&A, the sellers get 20-30 per cent of the synergies in the form of a takeover premium.

    C. Paying by shares for an M&A generates the lowest transaction costs.

    D. The optimal M&A strategy involves buying one relatively valuable target each year.

11. Consider a one-period Cox–Ross–Rubinstein (CRR) binomial model with a time step of 6 months. The continuously compounded risk-free interest rate over this half-year period is implicitly reflected in the Arrow–Debreu state prices. The Arrow–Debreu prices for the up and down states are 0.54 and 0.42, respectively. What is the corresponding risk-neutral probability of the up state?

    A. 0.56

    B. 0.60

    C. 0.50

    D. 0.72

12. Company A considers buying firm B. The takeover price is 1500, of which 500 is paid in earlier accumulated non-operational cash. What is the fair exchange rate of A and B shares needed to pay the rest of the takeover price, given that A has 10 million shares and B has 1 million shares? The equity values of A and B today, before the transaction, are 5000 and 1000, respectively, while the total synergy that A expects to realise is 800. There will be no change in debt for any of the firms.

    A. 2.0-2.2 A for 1.00 B

    B. 0.4-0.6 A for 1 B

    C. 0.2-0.4 A for 1.00 B

    D. 1.70-1.9 A for 1.00 B

13. If our FCFE=120, D/V=20%, rD=5% and rE=15%, while next year's expected RONIC is 16%, effective tax is 10%, and growth is 5%, the free cash flow of the firm is nearest to
    A. 80
    B. 140
    C. 100
    D. 120

14. Which of the following statements is true?
    A. Banks' financial planning starts with predicting the growth of certain asset types.
    B. The financial planning for a manufacturing company starts with predicting the change in invested capital needed.
    C. Banks' financial planning starts with predicting interest income and expenses based on expected market trends.
    D. The financial planning for a manufacturing company starts with predicting the needed amount of assets based on historical trends.

15. Which of the following does NOT qualify as an operational risk?
    Select one:
    A. Conduct risk.
    B. Epidemic.
    C. Increasing the central bank's base interest rate.
    D. IT breakdown.

16. What are the typical features of project loan financing?
    Select one:
    A. Contract based financing
    B. Long maturities
    C. Financing is on a non-recourse basis
    D. The other three answers are all correct.

17. An investor believes a stock price will have a large movement, but he does not know whether it will rise or fall. Which investment strategy do you recommend for him?
    A. Long call position
    B. Long straddle position
    C. Long forward position
    D. Long put position

18. When did the British pound drop from ERM?
    A. 2001
    B. 1992
    C. It is still in ERM.

D. 1994

19. Which international accounting standard is about the valuation of financial assets?
    - A. IFRS12
    - B. IFRS9
    - C. IFRS10
    - D. IFRS11

20. According to the IMF (2004), how are non-performing loans defined?
    - A. Loans with overdue interest or principal for 90 days or more.
    - B. Loans with overdue interest or principal for 60 days or more.
    - C. Loans with overdue interest or principal for 30 days or more.
    - D. Loans with overdue interest or principal for 120 days or more.

21. The company's capital structure consists of 70% of equity and the rest is debt. The stock beta is 1.5. The corporate tax rate is 20%. The cost of debt is equal to 8%. In addition, assume that the expected market risk premium is 5% and the risk-free interest rate is 2% per year. Compute the WACC.
    - A. 8.57%
    - B. 9.05%
    - C. 6.95%
    - D. 6.47%

22. A two-year project has the following possible outcomes:

    - A 90% probability of a \$5 million gain,
    - A 9% probability of a \$10 million loss,
    - A 1% probability of a \$20 million loss.

    Calculate the two-year Expected Shortfall (ES) at the 95% confidence level.
    - A. 20 million
    - B. 12 million
    - C. 10 million
    - D. 8 million

23. Which statement is true?
    Select one:
    - A. The terminal value formula for both the economic value added and the residual income method can be interpreted as calculating a non-growing perpetuity.
    - B. The asset-based methods show the likely price a third-party buyer may pay for the given firm.
    - C. Valuation methods using multiples assume that the firm has the same business risk as its peers.

D. A firm may have no less value than the total value of its equity.

24. How can you calculate the duration of a zero-coupon bond?
    A. Calculate from the most recent fixed interest rate.
    B. It is equal to the time until the next coupon payment.
    C. It is equal to how much time has passed since the bond was issued.
    D. It is equal to the time until maturity of the bond.

25. You are an owner of a firm. In which firm do you have a limited liability?
    Select one:
    A. Sole proprietorship
    B. General partnership
    C. Partnership
    D. In none of the other three types of firms.